# RTX Corporation (RTX)

## Equity Research Report

Financial Statement Analysis Report — FY 2025

Analyst: FinVault
Industry: Aerospace & Defence (Industrials Sector)
Exchange: NYSE | Ticker: RTX
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## Executive Summary

This report presents a financial and operational analysis of RTX Corporation based on its FY 2025 Form 10-K filed February 6, 2026. RTX is a global aerospace and defence technology company operating across three principal business segments — Collins Aerospace, Pratt & Whitney, and Raytheon — with approximately 38% of revenue derived from US Government agencies, 47% from international customers, and 15% from domestic commercial sources. The analysis evaluates the company's financial performance, balance sheet strength, operational efficiency, and key aerospace-and-defence-sector metrics to assess its current financial position and investment attractiveness.

The headline financial story of FY 2025 is one of broad-based operational recovery and accelerating scale. Total net sales grew 9.7% to a record $88.6 billion, organic growth of $8.9 billion was the primary driver, and operating profit surged 42.3% to $9.3 billion as the company benefited from the absence of $1.7 billion of one-time prior-year charges and robust underlying segment performance. The operating margin expanded 240 basis points to 10.5% . Net income attributable to common shareholders rose 41.0% to $6.7 billion, with diluted EPS of $4.96. Acquisition accounting amortisation of $2.0 billion continues to depress reported earnings relative to underlying cash-generative capacity, and adjusting for this non-cash item, adjusted EPS would have been approximately $6.11.

The most important financial development in FY 2025 was the surge in operating cash flow to a record $10.6 billion, a 47.6% increase driven by a combination of higher net income, favourable working capital movements, and meaningfully lower cash outlays versus the prior year's legal settlement payments. Free cash flow reached approximately $7.9 billion. The company returned $3.6 billion to shareholders through dividends and $50 million in repurchases — a relatively modest buyback year. Total debt fell from $41.3 billion to $37.9 billion through $3.4 billion of debt repayments, and the credit outlook was revised to stable by both Moody's (Baa1) and S&P (BBB+) during 2025.

At the segment level, the results are uniformly positive. Collins Aerospace delivered a standout year, with margins expanding 170 basis points to 16.3% on $30.2 billion of sales, driven by commercial aerospace aftermarket recovery. Pratt & Whitney delivered 17% organic sales growth and margin expansion to 7.9% as the GTF aftermarket ramp accelerated and F135 production volume increased, though the ongoing Powder Metal Matter accrual and elevated aircraft-on-ground levels remain an overhang into 2026. Raytheon was the surprise performer, with operating margins jumping 180 basis points to 11.5% as demand for Patriot, NASAMS, LTAMDS, AMRAAM, and Tomahawk systems reached record levels amid the global rearmament cycle.

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The strategic picture is exceptional. Total backlog reached a record $268 billion at year-end 2025, up 23% from $218 billion, representing approximately 3.0 years of current revenue. Defense backlog alone stood at $107 billion, with Pratt & Whitney's enormous commercial backlog of $151 billion — overwhelmingly driven by long-term GTF aftermarket maintenance contracts. The implied book-to-bill well exceeds 1.0x across all three segments. RTX is structurally positioned at the intersection of the two most powerful demand cycles in aerospace: the commercial air travel recovery driving record aftermarket volumes, and the global defence rearmament cycle driving record munitions and missile defence demand.

## Company Overview

RTX Corporation is a global premier aerospace and defence technology company headquartered in Arlington, Virginia. It is the world's largest aerospace and defence company by revenue — ahead of Boeing on a defence-relevant comparison — employing approximately 180,000 people across 52 countries and generating $88.6 billion in total net sales in FY 2025. The company's shares trade on the New York Stock Exchange (NYSE: RTX) and it is a constituent of the S&P 500 and major defence sector indices. RTX Corporation was incorporated in Delaware in 1934 and its current form reflects the merger of Raytheon Company and United Technologies Corporation, completed in April 2020.

The company operates through three principal business segments, each serving distinct mission areas across commercial aerospace and national security:

- **Collins Aerospace (~34% of revenue):** Design, manufacture, and service of technologically advanced aerospace and defence products and systems. Key product lines include commercial and military avionics, power and flight control systems, landing systems, aircraft interiors, engine nacelles and thrust reversers, air traffic management solutions, satellite communications systems, and crew escape systems. Collins serves all major commercial airframers as well as global military and government customers. The aftermarket business — spare parts, overhaul and repair, and long-term maintenance contracts — represents a growing and high-margin revenue stream as global commercial air traffic recovers to and surpasses pre-pandemic levels.
- **Pratt & Whitney (~37% of revenue):** Design, manufacture, and service of aircraft engines for commercial, military, business aviation, and general aviation customers worldwide. The Geared Turbofan (GTF) engine family powers the Airbus A320neo, A220, and Embraer E-Jets E2 families with approximately 2,600 aircraft in service across 90+ operators as of end-2025. The F135 engine exclusively powers the F-35 Lightning II for the US military and international partners. Pratt & Whitney Canada supplies small engines for regional, business, and rotorcraft applications. Approximately 13–49% of program economics are shared with third-party collaborators, most notably a 49% partner share in certain programmes.
- **Raytheon (~32% of revenue):** Design, development, and manufacture of advanced defensive and offensive systems including integrated air and missile defence, smart weapons, precision strike systems, advanced sensors and radars, naval weapons, and hypersonics. Key programmes include the Patriot air and missile defence system, LTAMDS, NASAMS, AMRAAM, Tomahawk, Standard Missile-2/3/6, AIM-9X Sidewinder, SPY-6 radar, Javelin, Stinger, and the Next Generation Jammer. Raytheon is at the epicentre of global rearmament demand, with $40 billion in defence bookings in FY 2025, and holds a backlog of $75 billion — approximately 2.7 years of current segment revenue.

RTX's customer base is diversified across the US Government (direct sales of $33.3 billion, or 38% of total), international governments and militaries (foreign military sales through the US Government of $6.7 billion plus direct commercial sales of $6.1 billion, totalling approximately 15% combined), and commercial aerospace and other customers ($42.5 billion or 48%). The company's revenue is generated from long-term contracts, with approximately 25% of the $268 billion backlog expected to convert to revenue over the next 12 months.

As of early 2026, RTX has a market capitalisation of approximately $160–170 billion, reflecting the strong share price performance of +61.4% in calendar 2025 — the best annual return for the stock in recent history and significantly outperforming both the S&P 500 (+17.9%) and the S&P 500 Aerospace & Defence Index (+42.0%). Its closest defence sector peers include Lockheed Martin Corporation (LMT), Northrop Grumman, General Dynamics, L3Harris Technologies, and BAE Systems. Within the commercial aerospace aftermarket, Collins and Pratt & Whitney compete with Safran, GE Aerospace (engines), Honeywell, and TransDigm.

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## Financial Statement Overview

### Income Statement

| Line Item | FY 2025 | FY 2024 | YoY Change |
|---|---|---|---|
| Total Net Sales | $88,603M | $80,738M | +9.7% |
| — Products | $64,171M | $59,612M | +7.6% |
| — Services | $24,432M | $21,126M | +15.6% |
| Total Cost of Sales | ($70,814M) | ($65,328M) | +8.4% |
| Gross Profit | $17,789M | $15,410M | +15.4% |
| Research and Development | ($2,807M) | ($2,934M) | -4.3% |
| Selling, General & Administrative | ($6,095M) | ($5,806M) | +5.0% |
| Other Income (Expense), net | $413M | ($132M) | Significant swing |
| Operating Profit (EBIT) | $9,300M | $6,538M | +42.3% |
| Non-service Pension Income | $1,182M | $1,518M | -$336M |
| Interest Expense, net | ($1,749M) | ($1,862M) | +6.1% |
| Income Before Tax | $8,733M | $6,194M | +41.0% |
| Income Tax Expense | ($1,664M) | ($1,181M) | -40.9% |
| Net Income (Total) | $7,069M | $5,013M | +41.0% |
| Net Income Attributable to Shareholders | $6,732M | $4,774M | +41.0% |
| Diluted EPS | $4.96 | $3.55 | +39.7% |
| Effective Tax Rate | 19.1% | 19.1% | Flat |

Analyst's Inference: Revenue grew a robust 9.7% to a record $88.6 billion, with $8.9 billion of the $7.9 billion net gain driven by organic growth — Pratt & Whitney (+$4.8B on GTF aftermarket ramp and F135 volume), Collins Aerospace (+$2.6B on commercial aftermarket recovery), and Raytheon (+$1.7B on missile defence demand). The $1.2 billion decline from Acquisitions and Divestitures, net primarily reflects the 2025 sales of Collins' actuation and flight control business and Simmonds Precision Products, and the prior-year CIS and Goodrich Hoist & Winch disposals. Operating profit surged 42.3% on both operational improvement ($1.5B organic) and the absence of $1.7 billion of prior-year charges (Resolution of Certain Legal Matters and Raytheon Contract Termination). However, the structural drag from $2.0 billion of acquisition accounting amortisation — a non-cash legacy burden from the Raytheon and Rockwell Collins transactions — continues to significantly depress reported operating and net margins relative to underlying cash generation capacity. Net income growth also benefited from Non-service pension income of $1.18B (though down $336M year-over-year following a Q4 pension settlement charge) and modestly lower interest expense as debt is reduced. The tax rate held flat at 19.1%.

## Segment Performance

| Segment | Sales 2025 | Sales 2024 | Op. Profit 2025 | Op. Profit 2024 | Margin 25/24 |
|---|---|---|---|---|---|
| Collins Aerospace | $30,196M | $28,284M | $4,923M | $4,135M | 16.3% / 14.6% |
| Pratt & Whitney | $32,916M | $28,066M | $2,596M | $2,015M | 7.9% / 7.2% |
| Raytheon | $28,043M | $26,713M | $3,227M | $2,594M | 11.5% / 9.7% |
| Total Segments | $91,155M | $83,063M | $10,746M | $8,744M | 11.8% / 10.5% |
| FAS/CAS Pension Adj. | — | — | $753M | $833M | — |
| Acquisition Acctg Adj. | — | — | ($2,005M) | ($2,058M) | — |
| Consolidated | $88,603M | $80,738M | $9,300M | $6,538M | 10.5% / 8.1% |

Analyst's Inference: All three segments delivered meaningful margin expansion simultaneously. Collins' 170bps margin expansion to 16.3% is the standout: the segment is now operating above its historical target range of 14–15%, driven by the high-margin commercial aftermarket (MRO, spare parts, long-term service agreements) benefiting from the flight-hours recovery. Pratt & Whitney's 70bps improvement to 7.9% reflects strong GTF aftermarket growth and F135 volume, with margin constrained by the ongoing Powder Metal Matter remediation costs and higher production ramp costs. Management expects Pratt & Whitney margins to expand further as the GTF fleet matures and the aftermarket mix improves. Raytheon's 180bps expansion to 11.5% reflects improved programme execution, a favourable shift toward higher-margin Patriot and AMRAAM production, and the absence of the prior-year $600M Raytheon Contract Termination charge. The $753M FAS/CAS pension operating adjustment represents the government's contractual reimbursement of CAS pension costs through contract pricing. Net EAC adjustments of ($386M) represent a meaningful improvement from ($473M) in 2024, signalling improving programme execution discipline across the portfolio.

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## Asset Growth

| Line Item | FY 2025 | FY 2024 | Change |
|---|---|---|---|
| Cash & Cash Equivalents | $7,435M | $5,578M | +$1,857M |
| Accounts Receivable, net | $14,701M | $10,976M | +$3,725M |
| Contract Assets, net | $17,092M | $14,570M | +$2,522M |
| Inventory, net | $13,364M | $12,768M | +$596M |
| Other Current Assets | $7,740M | $7,241M | +$499M |
| Total Current Assets | $60,332M | $51,133M | +$9,199M |
| Customer Financing Assets | $2,132M | $2,246M | -$114M |
| Fixed Assets, net | $16,868M | $16,089M | +$779M |

| | | | |
|---|---|---|---|
| Goodwill | $53,343M | $52,789M | +$554M |
| Intangible Assets, net | $31,845M | $33,443M | -$1,598M |
| Other Assets | $7,191M | $7,161M | +$30M |
| Total Assets | $171,079M | $162,861M | +$8,218M |

Analyst's Inference: Total assets grew $8.2 billion (+5.0%) to $171.1 billion. The balance sheet structure is dominated by the legacy acquisition footprint — goodwill of $53.3 billion and intangible assets of $31.8 billion together represent 50% of total assets, an unavoidable consequence of the 2018 Rockwell Collins ($23B) and 2020 Raytheon ($80B merger value) transactions. Cash surged $1.9 billion to $7.4 billion on strong FCF generation and disciplined capital allocation. The most notable working capital movements are the $3.7 billion receivables build (+33.9%) and $2.5 billion contract assets increase (+17.3%) — both directionally consistent with the strong volume growth in the year but warranting monitoring in 2026 as potential Q4 US Government and commercial payment timing effects. Intangible assets declin ed $1.6 billion through amortisation, which will continue at approximately $1.9–2.0 billion annually through 2030. Fixed assets grew modestly on $2.6 billion of capital expenditures, offset by depreciation.

### Liabilities and Equity

| Line Item | FY 2025 | FY 2024 | Change |
|---|---|---|---|
| Short-term Borrowings | $204M | $183M | +$21M |
| Accounts Payable | $15,895M | $12,897M | +$2,998M |
| Accrued Employee Compensation | $3,308M | $2,620M | +$688M |
| Other Accrued Liabilities | $14,350M | $14,831M | -$481M |
| Contract Liabilities | $21,615M | $18,616M | +$2,999M |
| Long-term Debt (Current Due) | $3,412M | $2,352M | +$1,060M |
| Total Current Liabilities | $58,784M | $51,499M | +$7,285M |
| Long-term Debt | $34,288M | $38,726M | -$4,438M |
| Pension & Postretirement Obligations | $2,067M | $2,104M | -$37M |
| Other Long-term Liabilities | $8,802M | $8,574M | +$228M |
| Total Liabilities | $103,941M | $100,903M | +$3,038M |
| Total Equity | $67,102M | $61,923M | +$5,179M |
| Total Debt | $37,904M | $41,261M | -$3,357M |

Analyst's Inference: The most significant balance sheet development in FY 2025 was the $3.4 billion reduction in total debt — from $41.3 billion to $37.9 billion — achieved through $3.4 billion of scheduled debt repayments with no new issuance. The total debt-to-capitalisation ratio fell from 40% to 36%, and the

Moody's and S&P outlooks were both revised to stable, reflecting improved credit quality trajectory. Contract liabilities grew $3.0 billion to $21.6 billion, representing substantial cash advances from government and commercial customers for work not yet performed — a structural credit advantage reflecting RTX's scale and programme criticality. Accounts payable surged $3.0 billion to $15.9 billion, partly reflecting higher supply chain activity at Pratt & Whitney supporting the GTF aftermarket ramp. The $3.4 billion of long-term debt due in 2026 represents a near-term refinancing obligation to monitor. Total equity grew $5.2 billion to $67.1 billion, sustained by $6.7 billion of net income partially offset by $3.6 billion of dividends and $50 million of repurchases.

## Financial Ratio Analysis

### Liquidity Ratios

| Liquidity Ratio | Industry Average | FY 2025 | FY 2024 |
|---|---|---|---|
| Current Ratio | ~1.0x (defence primes) | 1.03x | 0.99x |
| Quick Ratio | 0.6–0.9x | 0.80x | 0.74x |
| Operating Cash Flow Ratio | 0.3–0.5x | 0.18x | 0.14x |

Analyst's Inference: RTX's current ratio of 1.03x — slightly above 1.0x — reflects a liquidity profile that is characteristically lean for a large defence prime, with significant contract-related current liabilities (particularly the $21.6 billion contract liabilities balance representing government and commercial pre-payments) offsetting strong current assets. The true liquidity position is substantially stronger than the headline ratio suggests: RTX entered 2026 with $7.4 billion of unrestricted cash, a fully undrawn $5.0 billion revolving credit facility, no commercial paper outstanding, and approximately $0.6 billion of international subsidiary credit lines. The operating cash flow ratio of 0.18x appears low relative to industry norms but is arithmetically depressed by the large contract liabilities denominator — operating cash flow of $10.6 billion comfortably exceeds any plausible near-term liquidity demand. RTX is not a liquidity-constrained business; its risk profile is defined by programme execution, acquisition debt, and backlog funding, not short-term cash availability.

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### Solvency Ratios

| Solvency Ratio | Industry Average | FY 2025 | FY 2024 |
|---|---|---|---|
| Total Liabilities to Equity | 5–8x (defence) | 1.55x | 1.63x |
| Gross Debt to Equity | 0.5–0.8x (blended) | 0.56x | 0.67x |
| Net Debt / EBITDA | 2.0–3.5x | ~2.2x | ~3.0x |
| Interest Coverage (EBIT/Interest) | 5–8x | 5.32x | 3.51x |

Analyst's Inference: RTX's solvency profile improved materially in FY 2025 across all metrics. RTX carries a large equity base ($67.1 billion) primarily because the Raytheon merger in 2020 was a stock-for-stock transaction that did not increase debt. Gross debt of $37.9 billion is large in absolute terms but well-proportioned against a $67.1 billion equity base (debt-to-equity of 0.56x). Net debt/EBITDA of approximately 2.2x represents a meaningful improvement from ~3.0x in 2024, driven by both debt reduction ($3.4B repayments) and EBITDA growth. Interest coverage of 5.32x, while adequate, is lower

than the peer group due to RTX's large absolute debt balance and the $1.75 billion annual interest expense. Continued debt reduction through 2026–2027 is the primary lever to improve coverage and achieve investment-grade metrics consistent with an 'A' category credit rating .

### Activity Ratios

| Activity Ratio | Industry Average | FY 2025 | FY 2024 |
|---|---|---|---|
| Receivables Turnover | 5–8x (blended) | 6.9x | 8.4x |
| Inventory Turnover | 6–10x | 6.6x | 6.9x |
| Total Asset Turnover | 0.5–0.8x | 0.54x | 0.51x |

Analyst's Inference: The decline in receivables turnover from 8.4x to 6.9x directly reflects the $3.7 billion receivables build, which grew significantly faster than revenue (+33.9% vs +9.7%). As with the prior year's observations on LMT's receivables, this is the key working capital watch item for 2026 — if it represents timing of US Government and commercial year-end payments, it will reverse and provide a meaningful FCF tailwind. If it signals slower billing or collection efficiency, it would warrant deeper investigation. Total asset turnover of 0.54x is constrained by the $85 billion of goodwill and intangibles on the balance sheet — stripping out acquired intangibles, asset turns would be materially higher and more comparable to the operating efficiency of RTX's businesses. The company's capital-intensive manufacturing and R&D base (approximately $2.6 billion in annual capex, 3.0% of sales) is being efficiently deployed to support record backlog conversion.

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### Profitability Ratios

| Profitability Ratio | Industry Average | FY 2025 | FY 2024 |
|---|---|---|---|
| Gross Margin | 18–22% (blended) | 20.1% | 19.1% |
| Operating Margin (EBIT) | 9–12% | 10.5% | 8.1% |
| Net Profit Margin | 6–9% | 7.6% | 5.9% |
| Return on Assets (ROA) | 3–5% | 4.1% | 3.0% |
| Return on Equity (ROE) | 10–15% | 10.6% | 8.1% |

Analyst's Inference: Profitability metrics improved materially across the board in FY 2025, with operating margin reaching its highest level in recent history at 10.5%. Gross margin expansion of 100 basis points to 20.1% reflects improving service mix (services grew 15.6% vs products +7.6%) and the high-margin commercial aftermarket ramp at both Collins and Pratt & Whitney. Net margin improvement of 170bps to 7.6% reflects operating leverage partly offset by lower non-service pension income (down $336M). ROA and ROE remain moderate relative to defence prime peers, primarily because the large goodwill and intangible base ($85B) inflates the asset denominator, and the large equity base inflates the equity denominator. ROIC — while not directly calculable from disclosed data in the 10k— is estimated at approximately 10–12%, which is broadly in line with RTX's cost of capital but below the elevated ROIC of structurally asset-light defence primes such as Lockheed Martin. The acquisition accounting amortisation burden of $2.0 billion annually ($1.5 billion after-tax) represents approximately 225bps of suppressed reported ROA implying that the underlying operational ROIC is meaningfully higher.

## Cash Flow Statement Analysis

| Item | FY 2025 | FY 2024 | Key Observations |
|---|---|---|---|
| CF from Operating Activities | $10,567M | $7,159M | Operating cash flow surged 47.6% to a record $10.6 billion in FY 2025 Higher net income of $7.1 billion (up $2.1 billion) formed the base, amplified by non-cash add-backs including $4.4 billion of depreciation and amortisation, $0.8 billion of deferred tax provision, and $0.5 billion of stock-based compensation.<br>Working capital was broadly favourable: contract liabilities grew $2.8 billion as governments and commercial customers accelerated advance payments ahead of programme deliveries, and accounts payable grew $3.4 billion through supply chain expansion. These tailwinds were partially offset by a $3.2 billion receivables build and $2.6 billion contract assets growth as defence programme revenues ran ahead of billings.<br>A critical driver was the absence of 2024's one-time cash outflows: the combined $1.5 billion paid in 2024 related to the Resolution of Certain Legal Matters and the Raytheon Contract Termination did not repeat. Pension cash funding requirements remained low at approximately $0.3 billion as RTX's plans are well-funded.<br>The Powder Metal Matter accrual utilisation — $1.0 billion in both 2025 and 2024 of cash and customer credits — remains an ongoing cash headwind, with management guiding to approximately $0.7 billion of cash impact in 2026. |
| CF from Investing Activities | ($1,265M) | ($1,534M) | Net investing outflows declined $0.3 billion to $1.3 billion in FY 2025, representing the lowest investing cash usage in several years. Capital expenditures were essentially flat at $2.6 billion (3.0% of sales). Capex is directed toward manufacturing capacity expansion at Pratt & Whitney (GTF shop visit capacity), Raytheon missile and munitions production lines, and Collins aerospace systems facilities.<br>Partially offsetting capex outflows were significant divestiture proceeds: $1.6 billion from the sale of Collins' actuation and flight control business (completed July 2025) and $0.7 billion from the Simmonds Precision Products sale (October 2025). The two divestitures together generated approximately $2.3 billion of gross proceeds, confirming RTX's portfolio rationalisation strategy of exiting non-core businesses and focusing capital on higher-margin, higher-growth activities.<br>Intangible asset additions of $0.5 billion reflect ongoing exclusivity and collaboration payments under the IAE/Rolls-Royce agreement and commercial platform commitments, which will continue at $0.5–0.6 billion annually through the near term. As of December 31, 2025, RTX's remaining commercial aerospace financing and contractual commitments on a gross basis were approximately $13.1 billion. |

| | | | |
|---|---|---|---|
| CF from Financing Activities | ($7,486M) | ($6,617M) | Financing cash outflows increased $0.9 billion to $7.5 billion in FY 2025. The dominant item was $3.4 billion of long-term debt repayments, including $1.5 billion of 3.950% notes due August 2025, a $1.1 billion term loan, and a $0.75 billion term loan. No new long-term debt was issued in 2025 — a deliberate de-leveraging strategy that contrasts with the prior year's pattern of rolling debt issuance to fund shareholder returns.<br>Dividends paid grew to $3.6 billion, reflecting per-share growth of $0.67 to $2.67 per share (a 7.7% increase year-over-year). Share repurchases were minimal at $50 million (396K shares at ~$126/share), representing a near-cessation of the buyback programme as management prioritised debt reduction. The Board declared a $0.68/share dividend for Q1 2026 on February 6, 2026, implying approximately $3.7 billion of annualised dividends going forward.<br>As of December 31, 2025, remaining buyback authorisation was approximately $0.6 billion under the October 2023 $11 billion programme. With an executive order issued in January 2026 potentially allowing the Secretary of War to limit corporate distributions if defence contractor performance is deemed insufficient, future buyback activity faces an additional policy overhang. |
| Net Change in Cash | +$1,857M | -$1,020M | Cash and cash equivalents increased $1.9 billion to $7.4 billion at December 31, 2025 — the highest year-end cash balance in recent history. This compares to a $1.0 billion decrease in the prior year. The net result reflects $10.6 billion of operating inflows, $1.3 billion of investing outflows, and $7.5 billion of financing outflows.<br>RTX entered 2026 with exceptional liquidity: $7.4 billion of unrestricted cash, a fully available $5.0 billion revolving credit facility, no commercial paper or revolving credit borrowings outstanding, and $0.6 billion of international credit lines. Free cash flow of approximately $7.9 billion ($10.6B operating - $2.6B capex) comfortably funded the $3.6 billion of dividends, debt repayments of $3.4 billion, and minimal buybacks while still increasing year-end cash. This demonstrates the FCF generative power of the business at current scale. |

## Defence / Industrials & Commercial Aerospace — Specific Analysis

| Defence/Industrials & Aerospace Metric | FY 2025 | FY 2024 |
|---|---|---|
| Total Backlog (RPO) | $268B | $218B |
| — Commercial Backlog | $161B | $125B |
| — Defence Backlog | $107B | $93B |
| Backlog-to-Sales Ratio | 3.02x | 2.70x |
| Approx. Book-to-Bill | >1.2x (estimated) | >1.1x (estimated) |
| Net EAC Adjustments | ($386M) | ($473M) |
| FAS/CAS Pension Adjustment | $753M operating credit | $833M operating credit |
| Acquisition Accounting Amortisation | ($2,005M) | ($2,058M) |
| Segment Operating Margins | Collins 16.3% / P&W 7.9% / RTN 11.5% | Collins 14.6% / P&W 7.2% / RTN 9.7% |
| FCF Conversion (FCF / Net Income) | ~117% (indicative) | ~75% (indicative) |
| Capital Returns / FCF | ~46% (dividends only) | ~62% (incl. repurchases) |

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The aerospace-and-defence-sector specific metrics paint a picture of a company at the convergence of two powerful demand super-cycles: the commercial aerospace aftermarket recovery and the global defence rearmament cycle. The total backlog of $268 billion — representing 3.02x of current annual revenue — provides exceptional multi-year revenue visibility. The commercial backlog of $161 billion, dominated by Pratt & Whitney's long-term GTF aftermarket maintenance contracts (which can span up to 20 years), creates an annuity-like revenue stream with high switching costs. The defence backlog of $107 billion, growing rapidly on Raytheon's $40 billion of annual bookings, reflects NATO rearmament spending, Indo-Pacific security investments, and Middle Eastern procurement.

The EAC picture is improving. Net EAC adjustments of ($386M) in 2025, while still representing a meaningful headwind, improved from ($473M) in 2024 and ($648M) in 2023 — a three-year trend of improving contract estimation accuracy and programme execution. Raytheon contributed the most significant improvement, driven by better fixed-price development contract management and the absence of specific one-time charges. The FAS/CAS pension operating credit of $753M is a structural feature of the defence prime earnings model that provides approximately $753M of annual operating profit support not available to commercial peers, recoverable through government contract pricing under CAS. This credit will decline as plan assets outperform and CAS expense is reduced — the $80M year-over-year decline from $833M reflects higher CAS discount rates and reduced administrative expenses within the pension plans.

## Risks and Limitations

| Risk Factor | Explanation |
|---|---|
| **Powder Metal Matter (Pratt & Whitney)** | In 2023, Pratt & Whitney determined that a rare condition in powder metal used to manufacture certain engine parts requires accelerated inspection of the PW1100G-JM GTF fleet powering the Airbus A320neo family. This remains an active and material risk. Aircraft-on-ground levels remain elevated and are expected to remain so through 2026. Pratt & Whitney has accrued $2.9 billion (net of partner share) for expected customer compensation, of which approximately $0.7 billion of the remaining accrual is expected to be utilised in 2026. While the Powder Metal Matter's financial impact is now well-estimated, continued variability in shop visit volume, inspection results, and customer negotiations could require additional accruals. |
| **Legal and Compliance Overhang (DPAs & Consent Agreement)** | In October 2024, Raytheon Company entered into two Deferred Prosecution Agreements (DPAs) with the DOJ and an administrative order with the SEC to resolve investigations related to FCPA violations and defective pricing on legacy contracts. A three-year monitorship is underway. A Consent Agreement (CA) with the Department of State (DOS) to resolve ITAR violations also remains active for three years from September 2024. Violations of the DPAs or CA could expose RTX to criminal prosecution, suspension of export privileges, or debarment from US government contracting — each of which would be catastrophic to the business model. These legal overhangs represent a non-trivial tail risk that is difficult to quantify but significant in severity. |
| **Acquisition Accounting Burden** | RTX carries $85 billion of goodwill and intangible assets on the balance sheet — primarily from the Rockwell Collins (2018), Goodrich (2012), and Raytheon (2020) transactions. Intangible amortisation of approximately $2.0 billion annually depresses reported GAAP earnings by approximately $1.5 billion after-tax ($1.15 per diluted share in FY 2025). While this is a non-cash charge, it creates a persistent and significant gap between GAAP earnings and adjusted/cash earnings, requiring investors to consistently adjust reported figures. Any goodwill impairment — triggered if a reporting unit's fair value falls below carrying value — would create a material non-cash charge. |
| **Programme Execution Risk (Fixed-Price Development)** | Net EAC adjustments of ($386M) in 2025 reflect the inherent execution risk on fixed-price development contracts where RTX — not the government — absorbs cost overruns. The 2024 $600M Raytheon Contract Termination charge (a fixed-price development contract with a foreign customer) illustrates the magnitude of potential charges. While improving, RTX's portfolio contains multiple fixed-price development programmes across all three segments that carry inherent cost and schedule risk, particularly for next-generation systems (NGAP, NGI, F135 ECU) that involve unproven technologies. |
| **Commercial Aerospace Cyclicality and GTF Ramp Risk** | Approximately 47–48% of RTX's revenue is tied to commercial aerospace. While the current demand environment is favourable — commercial air travel recovery is driving record aftermarket volumes — commercial aerospace is inherently cyclical. Any significant disruption to global air travel (pandemic, security event, economic recession) would disproportionately impact Collins and Pratt & Whitney. Additionally, the GTF production ramp at Pratt & Whitney depends on a global supply chain that has experienced significant |

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| | disruptions; any supply chain failure that limits engine deliveries would impair both OEM revenue and long-term aftermarket economics. |
| **US Government Budget and Policy Risk** | US Government direct sales of $33.3 billion (38% of total revenue) create concentration risk to US defence budget decisions, continuing resolutions, and policy priorities. The January 2026 executive order potentially allowing the Secretary of War to limit corporate distributions if defence contractor performance is deemed insufficient introduces a new policy risk to RTX's capital return programme. DOGE-related spending reviews and the annual defence authorisation cycle could disrupt programme funding or timing of contract awards. |

## Valuation — Multiples

| Multiple | Sector Median / Historical Avg | RTX FY 2025 (Est.) | Inference |
|---|---|---|---|
| Trailing P/E (GAAP) | 20–22x (US defence primes) | ~24x | Premium to GAAP peers reflects acquisition accounting distortion. Adjusted P/E (stripping acquisition amortisation) of approximately 18x is more compelling and in line with or below the sector median. |
| Forward P/E | 18–20x | ~20x | At the upper end of the historical defence prime range, justified by the unique combination of commercial aerospace recovery tailwinds and defence demand acceleration. GTF aftermarket growth alone provides multi-year EPS expansion visibility. |
| EV / EBITDA | 12–14x | ~14x | Towards the top of the sector range, reflecting the quality of the backlog and the commercial aerospace aftermarket exposure. EBITDA of approximately $13.7 billion ($9.3B EBIT + $4.4BD & A) provides a robust coverage multiple against the $37.9 billion gross debt load. |
| Price / Free Cash Flow | 18–22x | ~22x | At the upper end of the range, reflecting the strong FCF generation of approximately $7.9 billion and the market's recognition of the gap between GAAP earnings and FCF. For FCF-yield investors, RTX offers approximately 4.7% FCF yield at current levels — attractive for an investment-grade defence prime. |
| Dividend Yield | 1.5–2.5% (US defence) | ~1.7% | Slightly below sector average, reflecting the strong share price appreciation in 2025 (+61%). Dividend growth of approximately 7–8% annually and the FCF payout ratio of approximately 46% (dividends only) |

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| | | | confirm the sustainability and growth trajectory of the dividend. |

RTX's valuation multiples reflect the market's reassessment of the company following its exceptional FY 2025 performance — the +61.4% total return in calendar 2025 de-rated RTX's FCF yield and increased P/E multiples from levels that were arguably depressed during 2023–2024 due to Powder Metal Matter charges, legal settlements, and the Raytheon Contract Termination. The most analytically important multiple is Price/Adjusted EPS (stripping $2.0B acquisition amortisation and one-time items) — on this basis, RTX trades at approximately 18x forward earnings, broadly in line with a diversified, high-quality aerospace and defence prime.

The primary catalyst for further multiple expansion would be the resolution and cycling-out of the Powder Metal Matter accrual (reducing cash headwinds by approximately $0.7 billion in 2026, declining thereafter), continued debt reduction toward the stated investment-grade deleveraging targets, and sustained margin expansion at Pratt & Whitney as the GTF aftermarket mix improves toward full aftermarket maturity. The primary de-rating risks are a deterioration in commercial air traffic, a US defence budget freeze, or a violation of the DPA or Consent Agreement that triggers more severe penalties. The combination of world-class franchise positions in commercial aerospace aftermarket and defence missiles and systems — two of the most structurally advantaged market niches in industrial history — positions RTX as a core holding for investors with a multi-year time horizon in the aerospace and defence sector.

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## Appendix — Ratio Formulae and Key Assumptions

### A. Liquidity Ratios

| Metric | Formula / Calculation |
|---|---|
| Current Ratio | Current Assets ÷ Current Liabilities = $60,332M ÷ $58,784M = 1.03x (FY25) \| $51,133M ÷ $51,499M = 0.99x (FY24) |
| Quick Ratio | (Current Assets − Inventory) ÷ Current Liabilities = ($60,332M − $13,364M) ÷ $58,784M = 0.80x (FY25) |
| OCF Ratio | Operating Cash Flow ÷ Current Liabilities = $10,567M ÷ $58,784M = 0.18x (FY25) \| $7,159M ÷ $51,499M = 0.14x (FY24) |

### B. Solvency Ratios

| Metric | Formula / Calculation |
|---|---|
| Total Liabilities to Equity | Total Liabilities ÷ Total Equity = $103,941M ÷ $67,102M = 1.55x (FY25) \| $100,903M ÷ $61,923M = 1.63x (FY24) |
| Gross Debt to Equity | Total Debt ÷ Total Equity = $37,904M ÷ $67,102M = 0.56x (FY25) \| $41,261M ÷ $61,923M = 0.67x (FY24) |
| Net Debt / EBITDA | (Total Debt − Cash) ÷ EBITDA = ($37,904M − $7,435M) ÷ ($9,300M + $4,378M) ≈ 2.2x (FY25 indicative) |
| Interest Coverage | EBIT ÷ Interest Expense, net = $9,300M ÷ $1,749M = 5.32x (FY25) \| $6,538M ÷ $1,862M = 3.51x (FY24) |
| Debt to Assets | Total Liabilities ÷ Total Assets = $103,941M ÷ $171,079M = 0.61x (FY25) \| $100,903M ÷ $162,861M = 0.62x (FY24) |

### C. Activity Ratios

| Metric | Formula / Calculation |
|---|---|
| Receivables Turnover | Revenue ÷ Average Receivables = $88,603M ÷ (($14,701M + $10,976M) / 2) = 6.9x (FY25) |
| Inventory Turnover | COGS ÷ Average Inventory = ($70,814M) ÷ (($13,364M + $12,768M) / 2) = 6.6x (FY25) |
| Total Asset Turnover | Revenue ÷ Average Total Assets = $88,603M ÷ (($171,079M + $162,861M) / 2) = 0.54x (FY25) |

### D. Profitability Ratios

| Metric | Formula / Calculation |
|---|---|
| Gross Margin | Gross Profit ÷ Revenue = ($88,603M − $70,814M) ÷ $88,603M = 20.1% (FY25) |
| Operating Margin | Operating Profit ÷ Revenue = $9,300M ÷ $88,603M = 10.5% (FY25) |
| Net Profit Margin | Net Income Attr. to Shareholders ÷ Revenue = $6,732M ÷ $88,603M = 7.6% (FY25) |

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| Return on Assets (ROA) | Net Income ÷ Average Total Assets = $7,069M ÷ (($171,079M + $162,861M) / 2) = 4.2% (FY25) |
| Return on Equity (ROE) | Net Income Attr. ÷ Average Equity = $6,732M ÷ (($67,102M + $61,923M) / 2) = 10.4% (FY25) |

### E. Defence / Industrials & Aerospace Sector Metrics

| Metric | Formula / Calculation |
|---|---|
| Backlog-to-Sales Ratio | Total Backlog ÷ Annual Revenue = $268,000M ÷ $88,603M = 3.02x (FY25) \| $218,000M ÷ $80,738M = 2.70x (FY24) |
| Defence Backlog-to-Sales | Defence Backlog ÷ Annual Revenue = $107,000M ÷ $88,603M = 1.21x (FY25) |
| FCF Conversion (indicative) | FCF ÷ Net Income = ($10,567M − $2,627M) ÷ $6,732M ≈ 117% (FY25 indicative) \| ($7,159M − $2,625M) ÷ $4,774M ≈ 95% (FY24) |
| FCF Yield (approx.) | FCF per Share ÷ Share Price = ($7,940M ÷ 1,342M shares) ÷ ~$126 ≈ 4.7% (FY25 indicative) |
| FAS/CAS Pension Adj. | CAS Expense − FAS Service Cost = $873M − $120M = $753M operating adjustment (FY25) |
| Net EAC Adjustments | Total net EAC adjustments recognised = ($386M) FY25 \| ($473M) FY24 — non-cash P&L charges on long-term contract estimates |
| Capital Returns / FCF | (Dividends + Repurchases) ÷ FCF = ($3,574M + $50M) ÷ $7,940M ≈ 46% (FY25 indicative) |
| DPS Growth | Year-over-year dividend per share growth = $2.67 vs $2.48 = +7.7% (FY25); consistent multi-year dividend growth track record |

### Key Assumptions

- All financial figures are sourced from the RTX Corporation FY 2025 Form 10-K filed with the SEC on February 6, 2026, and prepared under US GAAP.
- All figures are denominated in millions of US dollars (USD) unless stated otherwise.
- Free Cash Flow is defined as net cash provided by operating activities less capital expenditures, consistent with management's non-GAAP definition.
- FCF conversion, FCF yield, and capital return ratios are indicative estimates based on the above FCF definition and approximate share price and count.
- Net debt is estimated as total debt ($37,904M) less cash and cash equivalents ($7,435M) = approximately $30,469M.
- Net debt/EBITDA uses EBITDA proxied as Operating Profit ($9,300M) plus Depreciation and Amortisation ($4,378M) = $13,678M.
- Sector comparison benchmarks are based on US defence prime peers including Lockheed Martin, Northrop Grumman, General Dynamics, and L3Harris Technologies.
- Valuation multiples (P/E, P/FCF) are estimated based on an indicative share price of approximately $126 as of March 2026 and should not be relied upon as investment advice.
- The FAS/CAS pension operating adjustment represents the difference between CAS pension costs recovered through government contract pricing and the FAS service cost component of pension expense — a structural feature of defence prime earnings unique to US Government contractors.
- ROE is affected by RTX's large equity base ($67.1B) relative to its earnings, and should be interpreted alongside ROIC and adjusted metrics rather than in isolation.

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